

Other income and expense items are summarized in the following table:

	Years Ended December 31,	
	2018	2017
Interest expense	\$ (2,085)	\$ (3,343)
Interest income	1,826	1,284
Other (expense) income	(2,676)	3,817
Total other (expense) income, net	\$ (2,935)	\$ 1,758

Interest expense decreased in the year ended December 31, 2018, versus the same period in 2017 primarily due to lower debt balances, a reduction in interest related to interest rate swaps, and a one-time charge related to a liability that was settled in 2017. Interest income increased due to higher interest rates. Other expense in the year ended December 31, 2018, was driven by foreign currency translation losses mainly due to the appreciation of the U.S. Dollar compared to the Chinese Renminbi and the Euro. Other income in the year ended December 31, 2017 was driven mainly by foreign currency translation gains due to the depreciation of the U.S. Dollar compared to the Chinese Renminbi and the Euro.

	Years Ended December 31,	
	2018	2017
Effective tax rate	19.9%	64.1%

The effective income tax rate in 2018 was 19.9% compared to 64.1% in the prior year. The tax rate in 2018 was favorably impacted by a discrete one-time rate change benefit related to the Tax Act resulting from the election of tax accounting method changes, partially offset by a one-time withholding tax on repatriation of earnings from one of our foreign subsidiaries that was completed during the year to enable the use of tax credits due to expire in 2018. The tax rate in 2017 was unfavorably impacted by the application of the Tax Act, driven by the remeasurement of the net deferred tax assets from 35% to 21% and the one-time mandatory transition tax on the historical earnings of foreign affiliates, which resulted in a net non-cash charge of \$18,001.

Net earnings were \$46,532 or \$1.39 per diluted share for the year ended December 31, 2018, compared to earnings of \$14,448 or \$0.43 per diluted share in the comparable period of 2017.

Liquidity and Capital Resources

Cash and cash equivalents were \$100,241 at December 31, 2019, and \$100,933 at December 31, 2018, of which \$98,309 and \$96,762, respectively, were held outside the United States. The decrease in cash and cash equivalents of \$692 was primarily driven by cash generated from operating activities of \$64,405 and net proceeds from an increase in borrowings of long-term debt of \$49,700, which were offset by the payment for the QTI acquisition of \$73,906, capital expenditures of \$21,733, treasury stock purchases of \$11,746, dividends paid of \$5,238, and taxes paid on behalf of equity award participants of \$2,657. Total debt as of December 31, 2019, and December 31, 2018, was \$99,700 and \$50,000, respectively. Total debt as a percentage of total capitalization, defined as long-term debt as a percentage of total debt and shareholders' equity, was 19.7% at December 31, 2019, compared to 11.7% at December 31, 2018.

Working capital increased by \$5,164 from December 31, 2018, to December 31, 2019, driven mainly by the decrease in accrued payroll and benefits due to lower short-term incentive compensation and the decrease in accounts payable, which were partially offset by an increase in operating lease obligations.

Cash Flows from Operating Activities

Net cash provided by operating activities was \$64,405 during the year ended December 31, 2019. Components of net cash provided by operating activities included net earnings of \$36,146, depreciation and amortization expense of \$24,619, stock-based compensation of \$5,015, other net non-cash items totaling \$5,160, and a net cash outflow from changes in assets and liabilities of \$6,535.

Cash Flows from Investing Activities

Net cash used in investing activities for the year ended December 31, 2019, was \$95,502, driven by the payment for the QTI acquisition of \$73,906 and capital expenditures of \$21,733.

Cash Flows from Financing Activities

Net cash provided by financing activities for the year ended December 31, 2019, was \$30,059. The net cash inflow was the result of net proceeds from an increase in borrowings of long-term debt of \$49,700, which was partially offset by treasury stock purchases of \$11,746, dividend payments of \$5,238, and taxes paid on behalf of equity award participants of \$2,657.

Capital Resources

Long-term debt was comprised of the following:

	As of December 31,	
	2019	2018
Total credit facility	\$ 300,000	\$ 300,000
Balance Outstanding	\$ 99,700	\$ 50,000
Standby letters of credit	\$ 1,800	\$ 1,940
Amount available	\$ 198,500	\$ 248,060
Weighted-average interest rate	3.25%	3.10%
Commitment fee percentage per annum	0.23%	0.20%

On February 12, 2019, we entered into an amended and restated five-year Credit Agreement with a group of banks (the "Credit Agreement") to extend the term of the facility. The Credit Agreement provides for a revolving credit facility of \$300,000, which may be increased by \$150,000 at the request of the Company, subject to the administrative agent's approval. This new unsecured credit facility replaces the prior \$300,000 unsecured credit facility, which would have expired August 10, 2020. Borrowings of \$50,000 under the prior credit agreement were refinanced into the Credit Agreement. The prior agreement was terminated as of February 12, 2019.

The Revolving Credit Facility includes a swing line sublimit of \$15,000 and a letter of credit sublimit of \$10,000. Borrowings under the Revolving Credit Facility bear interest at the base rate defined in the Credit Agreement. We also pay a quarterly commitment fee on the unused portion of the Revolving Credit Facility. The commitment fee ranges from 0.20% to 0.30% based on our total leverage ratio.

We have entered into interest rate swap agreements to fix interest rates on \$50,000 of long-term debt through February 2024. The difference to be paid or received under the terms of the swap agreements is recognized as an adjustment to interest expense when settled.

We have historically funded our capital and operating needs primarily through cash flows from operating activities, supported by available credit under our Revolving Credit Facility. We believe that cash flows from operating activities and available borrowings under our Revolving Credit Facility will be adequate to fund our working capital needs, capital expenditures, and debt service requirements for at least the next twelve months. However, we may choose to pursue additional equity and debt financing to provide additional liquidity or to fund acquisitions.

Critical Accounting Policies and Estimates

Management prepared the consolidated financial statements under accounting principles generally accepted in the United States of America. These principles require the use of estimates, judgments, and assumptions. We believe that the estimates, judgments, and assumptions we used are reasonable, based upon the information available.

Our estimates and assumptions affect the reported amounts in our financial statements. The following accounting policies comprise those that we believe are the most critical in understanding and evaluating our reported financial results.